Central Bank
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Transparency Report

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A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

September 16, 2025

Present at the meeting: Governor Martin Galstyan, Deputy Governors Armen Nurbekyan and Hovhannes Khachatryan; and Board Members Davit Nahapetyan, Artak Manukyan, Levon Sahakyan, and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia began with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios summarized in the Taxonomy of Scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are presented in greater detail in the Monetary Policy Report and summarized in Part B of the Executive Monetary Policy Statement.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to addressing the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future path of the policy rate. Based on the CBA's most recent surveys, financial market participants expect the CBA policy rate to gradually decline to 6.25% over the next eight decisions.

On the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations in order to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). These types of scenarios primarily relate to risks of increasing external and domestic demand conditions forming, risks of higher global and domestic neutral rates, country risk premium uncertainty, and uncertainty surrounding regional geopolitical developments. On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include concerns regarding a weak demand environment forming and deepening in the economy due to the gradual decline (adjustment) of real estate prices, overall concerns about the outlook for the global economy, as well as higher productivity growth and a strong investment environment contributing to greater real exchange rate appreciation and a lower neutral rate.

Against the backdrop of the broader set of risks, Board members deliberated their individual views on the key sources and types of risks and uncertainty that were most relevant for making a prudent policy decision. These discussions took place in the context of "least regrets" decision-making, in terms of seeking to minimize potential losses that could arise from these scenarios materializing.

Board members discussed uncertainties around underlying economic conditions and policies in the United States, with implications on Fed policy. Board members were in unison in expressing concern about weakening labor market conditions in the US in the second and third quarters. All Board members noted that, in light of slowing economic conditions in the US, market expectations pointed to a likely rate cut at the Fed's forthcoming meeting, though uncertainty about the scale of those cuts persisted. Artak Manukyan suggested that interest rate cuts in the US could result in a further weakening of global financial conditions, which in turn could create conditions conducive to lowering interest rates in emerging markets. At the same time, Martin Galstyan, Armen Nurbekyan, and Narek Ghazaryan noted that the convergence of labor market weakening with tariff-related inflationary risks significantly complicates US monetary authorities' task of meeting the dual mandate. At the same time, Board members continued to express concerns about the implications of US fiscal policy on the country's debt sustainability and neutral rates, which could impact neutral rates in, and capital flows to, emerging market economies.

Addressing weakening demand conditions in the EU, Russia, and China, all Board members agreed that risks of a worsening global demand outlook had increased. Narek Ghazaryan additionally emphasized that real estate market risks and concerns over a persistent deflationary environment continued to impact the Chinese economic outlook, with implications on global demand and inflationary conditions. Additionally, Armen Nurbekyan noted that risks of a global stagflation-type environment could create upward pressure on risk premiums in emerging markets, with implications on foreign investment in these markets. Finally, turning to commodity markets, Narek Ghazaryan, Davit Nahapetyan and Hovhannes Khachatryan noted that while food prices have continued to grow, the upside risks are relatively more muted especially when compared to the post-Covid surge in food prices.

Discussions then touched upon key sources of uncertainty about underlying domestic economic conditions. While there appear to be fewer imbalances between aggregate demand and aggregate supply relative to previous years, all Board members emphasized uncertainty about potential increases in demand conditions and the persistence of these trends, as well as implications on a potentially higher output gap. On the one hand, all Board members noted that growth had ticked up meaningfully in both Q2 and Q3, driven primarily by construction and services. While all Board members emphasized concerns about signs of accelerating demand, they all raised questions about whether these trends would prove to be persistent over the medium term. They additionally emphasized uncertainty around the extent to which this uptick in growth would feed into demand-driven inflationary pressures in the domestic economy. Further, all Board members noted that the real estate market has not exhibited signs of a sharp downward correction, although Martin Galstyan, Armen Nurbekyan, and Narek Ghazaryan emphasized that the macroeconomic implications stemming from risks of a gradual slowdown in the real estate market in the medium-term still persisted.

Board members noted that recent months continued to witness a sharp increase in tourism flows, reversing trends observed since 2023 and pointing to risks of acceleration in inflation for services highly exposed to external demand. Artak Manukyan emphasized that the recent uptick in tourism, which has been driven by tourism from non-traditional markets, could mark a new trend, although it remains to be seen whether impacts on the inflationary environment would prove to be transitory or persistent. In this context, all Board members noted that these developments could point to a rebound in external demand conditions. Turning to lending conditions, all Board members noted that lending activity for both businesses and households remained high, but they emphasized varying interpretations of its impacts on demand and inflation. Narek Ghazaryan and Levon Sahakyan, for example, noted that further growth in consumer loans, in tandem with growth in wealth and accumulated savings, could lead to excess demand conditions forming. On the other hand, he also argued that greater business lending activity, coupled with growing labor supply, investment activity, and structural changes, could support higher potential output and capacity growth, potentially offsetting some of the aforementioned upside risks. In this context, Board members also discussed scenarios where increases in productivity may have positively impacted the productive potential of the economy, which, in tandem with an improved investment climate and persistent capital flows, may have resulted in an historical and expected appreciation of the real exchange rate trend and a lower neutral rate.

Regarding fiscal policy developments, Board members agreed that risks of a higher pace of current expenditures, both in the final months of the year as well as over the medium-term horizon, could have implications on domestic demand conditions and the overall inflationary environment. In this context, Armen Nurbekyan emphasized that a higher expenditure and debt trajectory could also create upward pressure on the country risk premium.

Turning to inflation, all Board members noted that sustained supply-side factors, including increased imported food and non-food prices, had contributed meaningfully to the recent uptick in inflation. Martin Galstyan, Levon Sahakyan, and Davit Nahapetyan noted positive signals regarding inflation expectations, which continue to converge around the target. In this context, Davit Nahapetyan and Levon Sahakyan suggested that supply-driven increases in inflation in Armenia are less concerning from the perspective of monetary policy, especially if inflation expectations are well-anchored. At the same time, Armen Nurbekyan emphasized that although the nature of the recent inflation spike has been supply driven, developments in inflation must nonetheless continue to be closely monitored, especially considering risks of expansion in demand conditions. Narek Ghazaryan noted that if excess demand conditions form and converge with further price pressures from the global economy (e.g. for imported food), this could pose serious upside risks to inflation.

Summarizing their views, the Board agreed that the greatest policy imperative lies in accurately assessing which types of risks are most relevant and dangerous in terms of their scale and impact on the economy, and what types of policy errors the Board is most focused on avoiding from a least regrets perspective. On the whole, the Board members were in unison that the Case A-type continued to dominate, while virtually no new Case B-type risks had emerged. From a Case A perspective, and as noted above, Board members emphasized uncertainty related to the country risk premium and neutral interest rates stemming from both global, geopolitical, and fiscal policy-related considerations, as well as risks of excess demand conditions forming. As for Case B-type risks, the Board pointed to concerns of a gradual decline (adjustment) of real estate prices contributing to the formation and deepening of weak demand conditions in the economy, and overall concerns about the outlook for the global economy.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

Considering the aforementioned risks and uncertainties, Board members were in unison that the concerns stemming from Case A-type risks continued to dominate. All Board members agreed that while leaving the policy rate unchanged in the current decision remained appropriate amid uncertainty, the policy rate may need to follow a higher path over the medium term relative to market expectations in order to ensure the price stability objective.

As a result, the Board of the Central Bank of Armenia voted to leave the policy rate unchanged (see Table 1). The Board will continue to monitor relevant risks and scenarios, and stands ready to take adequate actions to ensure that the price stability objective of 3 percent inflation over the medium-term horizon is met.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
September 16, 2025 Decision

Board Member	Vote
Narek Ghazaryan	Keep unchanged
Levon Sahakyan	Keep unchanged
Artak Manukyan	Keep unchanged
Davit Nahapetyan	Keep unchanged
Hovhannes Khachatryan	Keep unchanged
Armen Nurbekyan	Keep unchanged
Martin Galstyan	Keep unchanged

B. Final Vote Submissions

September 15, 2025 Decision

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Governor Martin Galstyan

Based on discussions with the Board during the policy round, the analysis of current and underlying economic conditions, as well as a careful assessment of the key sources of risk and uncertainty, I have voted to keep the policy rate unchanged. My decision is motivated by the need to prudently manage the macroeconomic implications that could stem from the Case A-type risks materializing. While markets expect the US Fed to restart interest rate cuts, concerns about upward pressure on long-term US interest rates stemming from fiscal policy still persist, with implications on the neutral rate in Armenia. Domestically, growth has increased in recent months and remains concentrated in demand-driven sectors. External demand conditions have increased, as reflected in tourism growth and sustained demand for Armenian goods and services. At the same time, while I find that the threat posed by the Case B-type risks have largely softened, I nonetheless have continued to monitor these risks. These include concerns about a weakening global growth outlook, as well as the macroeconomic implications of a potential, gradual adjustment in the real estate market, even as the latter continues to show signs of resilience in recent months. In summary, my vote reflects an assessment that the Case B-type risks have largely weakened, while the need to manage the Case A-type risks has become increasingly dominant. I therefore believe that the current policy stance best manages the risks at hand. In the event that new information or events emerge that require a reassessment of this balance of risks, I reaffirm my commitment to responding in an appropriate and timely manner to ensure that the price stability mandate is met.

Deputy Governor Armen Nurbekyan

Taking into account the recent economic and financial developments in Armenia over the past few months, discussions with other members of the CBA Board during current policy cycle, as well as a thorough analysis of the main sources of risks and uncertainty, I vote in favor of keeping the policy rate unchanged. Significant uncertainty in the domestic and global economies persists. Uncertainties regarding economic activity in the United States have increased, while some short-term effects of tariff changes have begun to impact US inflation. At the same time, uncertainty regarding the long-term neutral interest rate in the U.S. persists in the context of the medium-term outlook for the budget deficit, creating upward pressures on the neutral rate going forward. In other leading economies, particularly in the EU and China, risks of a slowdown in economic activity remain. The acceleration of inflation in the domestic economy remains an important issue to monitor. Economic activity continues to be somewhat concentrated in demand-driven sectors, and external demand has experienced high growth. The expansion of demand, along with high credit growth, increases the likelihood of a positive output gap, which should continue to be monitored amid rising inflation. Fiscal policy represents one of the main Case A-type risks, particularly in the short term, due to the potential expansionary impacts on demand and the potential increase in the risk premium driven by rising public debt. At the same time, Case B-type risks in the domestic economy mainly stem from a potential weakening of activity in the construction and mortgage markets, which has not yet materialized. Additionally, it is important to emphasize that these sectors have experienced higher growth than expected in recent months. In summary, since the last policy decision, Case A-type risks have increased both domestically and globally. Taking into account the potential upward adjustment of the output gap and the risk of a higher neutral interest rate, the decision to keep the policy rate unchanged reflects the increased likelihood of Case A-type scenarios, as well as the significant economic costs that could arise from a monetary policy error should these risks materialize.

Deputy Governor Hovhannes Khachatryan

Considering recent economic and financial developments in Armenia over the past few months, the discussions with other Board members during the policy cycle, as well as thorough analysis of the main sources of risks and uncertainty, I vote in favor of maintaining the policy rate unchanged. Uncertainty still persists in both the external and internal sectors of the economy. In the

U.S., risks related to both economic activity and inflation remain elevated. The long-run neutral interest rate in the U.S. may settle at higher levels, driven by the federal budget deficit, risks of de-anchored inflation expectations, and the segmentation of global financial markets. In other leading economies, particularly in the EU and China, risks of slowing economic activity persist. The weakening of Russia's economic activity is also accompanied by a higher level of inflation. Therefore, stagflationary risks stemming from the external sector are intensifying. Due to regional political developments, as well as the dynamics of the public debt levels, the magnitude and direction of potential net changes in Armenia's risk premium remain uncertain. Although economic activity remains somewhat concentrated in the services and construction sectors, other sources of economic growth are also showing positive developments. The persistence of external and internal demand, along with strong growth of lending, increases the likelihood of a positive GDP gap. In the domestic economy, Case B-type factors mainly stem from the potential weakening of construction and mortgage market activity, which has not yet been observed. In summary, since the last decision, Case A-type risks have increased in both the global and domestic economies, while Case B-type risks are of less concern. Considering the above, leaving the policy rate unchanged best minimizes the losses that could stem from potential policy errors.

Board Member Davit Nahapetyan

Taking into account the analysis presented by the macroeconomic team regarding recent economic and financial developments, as well as the extensive discussions held with fellow Board members on the policy rate, and guided by the principles of prudent risk management, I voted in favor of leaving the policy rate unchanged. External conditions continue to exert inflationary pressures on the Armenian economy, stemming from higher global prices for commodities and food products. While these risks are primarily supply-driven, they remain concerning from the perspective of their potential impact on domestic inflation expectations. Despite some signs of weakening global demand and the easing of monetary conditions by central banks in partner countries, it is assessed that the external risks facing our economy remain predominantly inflationary. Domestically, economic activity continues to hold at elevated levels. The broad-based expansion across sectors carries with it demand-driven inflationary risks. At the same time, some signs of moderating wage growth are primarily within the domain of disinflationary effects. Although inflation has shown some upward momentum, these have largely reflected higher prices for imported goods. Risks of demand-driven inflationary pressures remain present, though importantly we have not observed an acceleration in sticky price inflation. Given the seasonal nature of price increases in certain sectors, I expect that the effects of external demand on inflation will moderate somewhat over the third and fourth quarters. At the same time, I stress the need for a more comprehensive assessment of domestic demand conditions and their persistence, which will allow for more precise management of potential risks. On balance, I judge that case A type of risks are currently dominant, with a higher likelihood of materializing compared with case B type of risks. However, the relative stability of sticky price inflation and the need to observe and assess domestic demand conditions over a longer horizon lead me, from a risk-management perspective, to vote in favor of keeping the policy rate unchanged at this stage. I reaffirm that the Central Bank Board will continue to closely monitor economic developments and stands ready to take appropriate measures, as needed, to ensure the achievement of the price stability objective.

Board Member Artak Manukyan

In the context of better understanding recent economic and financial sector developments, I have assessed various analyses as well as the main sources of potential risks and uncertainties. In light of the above, I have voted in favor of keeping the refinancing rate unchanged. Considering recent developments, increasingly targeted and effective Western sanctions as well as the tightening of economic policies may contribute to a significant weakening of domestic demand in Russia. On the other hand, with the gradual expansion of various alternative import and export channels, Armenia's participation in Russia's external trade flows may also decrease, further deepening the decline in income due to weaker external demand. This may also be compounded by the implementation of stricter migration policies by Russia. Moreover, the expected easing of interest rates in the United States offers additional support for our monetary policy stance. In the domestic economy, although industry (particularly manufacturing) has not yet fully recovered compared to the previous period, economic growth remains high, mainly driven by the services and construction. This is accompanied by an increase in aggregate demand, as reflected in double-digit lending growth. Moreover, there are signals of continued growth trends in the tourism (particularly from non-traditional markets), which may stimulate demand and expand the inflationary environment. Although inflation still remains somewhat above the target, developments in food prices have been milder than expected. Expectations regarding sticky prices are also anchored around the target. At the same time, uncertainty remains regarding the persistence of certain developments in the country's risk premium. Taking into account current inflation trends, ongoing economic developments and their macroeconomic outlook, as well as considering the assessment of fundamental conditions, I estimate that at this stage it is appropriate to pursue a monetary policy trajectory somewhat higher than market expectations. To conclude, given the elevated probability of Case A-type risks at this stage, I voted to keep the policy rate unchanged in order to manage their potential impact. I reaffirm my commitment to continue to closely monitor economic developments and, if necessary, take appropriate actions in the medium term to ensure the inflation target of 3% is met.

Board Member Levon Sahakyan

Having carefully assessed recent economic developments, underlying fundamentals and the main sources of risks and uncertainties, as well as taking into account prevailing market expectations, I voted in favor of keeping the policy interest rate unchanged. In recent weeks, international markets have increasingly anticipated a continued reduction in U.S. Federal Reserve interest rates, reflecting signs of a gradual cooling in the U.S. labor market. However, given the risks stemming from U.S. fiscal policy, I consider it premature to conclude that uncertainty surrounding the neutral interest rate has diminished. As for the domestic economy, activity remains resilient, supported primarily by robust growth in demand-driven sectors. While inflation is currently somewhat above target due to supply-side factors, the stable dynamics of non-tradable sticky price inflation indicate that conditions of excessive demand have not materialized. Although market participants expect a path of gradual policy rate reductions, prudent management of Case A-type risks remains central to my decision. Regarding Case B-type risks, I am attentive to potential macroeconomic implications that could arise from a rapid adjustment in the real estate and construction sectors. Recent developments, however, suggest that the likelihood of these risks materializing has somewhat moderated. Against this backdrop and from a policy perspective, the appropriate course of action is to prioritize the management of Case A-type risks, which, over the medium term, implies a policy rate path that is higher than currently priced by markets. Under the present circumstances, maintaining the policy rate unchanged is necessary to safeguard price stability while addressing the identified risks.

Board Member Narek Ghazaryan

Taking into account discussions with other Board members during this policy decision cycle, analysis of current economic developments and underlying conditions, as well as a comprehensive assessment of key sources of risks and uncertainties, I voted in favor of keeping the policy rate unchanged at 6.75 percent. My decision is based on the firm view that, within the monetary policy target horizon, the combined inflationary and disinflationary effects stemming from potential materialization of both Case A and Case B scenarios are relatively moderate. Nevertheless, I am particularly concerned about Case A-type inflationary scenarios, as I assess both their likelihood and their combined impact on inflation to be higher than those reflected in the expectations of financial market participants. Focusing more specifically on Case A-type risks within the policy target horizon, there is a possibility of moderate increases in the global prices of certain food items that have significant weight in Armenia's consumer basket. Another important Case A-type risk stems from the potential tightening of US trade policy and retaliatory measures by affected countries, which could generate moderate upward pressures on global prices. Additionally, if existing sanctions on Russia are maintained or further intensified, it could trigger a faster inflow of capital into Armenia, ultimately leading to an acceleration in private consumption and creating additional inflationary pressures in the domestic market. Alongside these external factors, there are also inflationary risks driven primarily by domestic developments. Economic activity in Armenia remains above its potential, supported by private consumption growth fueled by strong economic performance in previous years, sustained credit expansion, and investment growth driven by optimistic expectations. In parallel, recent months have seen a notable increase in tourism inflows, while export volumes in the "traditional" segments of the manufacturing sector continue to grow. If this elevated level of economic activity persists, the domestic inflationary environment may continue to expand. Furthermore, given the positive geopolitical and regional developments observed in August, a further acceleration in investment and overall economic activity is anticipated, which poses additional medium-term inflationary risks. Turning to Case B-type risks, several risks require attention. One such risk is the possibility of a sharp correction in the prices of overvalued assets in the US, which, coupled with a decline in business confidence, could lead to a significant slowdown in the economic activity. This scenario has become increasingly plausible in light of the economic indicators published between July and September. A contraction in US activity would negatively affect global demand, creating moderate disinflationary risks for Armenia. At the same time, persistently low inflation in China, combined with policies aimed at expanding its export markets, could further deepen disinflationary pressures in several economies relevant to Armenia's trade. In the event of a resolution to the Russia-Ukraine conflict accompanied by a sharper slowdown in economic activity in Russia, demand for Armenian goods and services, as well as other financial inflows to Armenia, could decline, generating disinflationary pressures domestically. Among domestic Case B-type risks, one notable factor is the potential for a continued decline in the neutral interest rate in Armenia, reflecting a further possible reduction in the country risk premium and the persistent trend appreciation of the real effective exchange rate driven by rising exports and sustained capital inflows. Another possible risk relates to a faster-than-expected cooling of elevated activity in the real estate market, which, if materialized, could significantly slow aggregate domestic demand and create additional disinflationary pressures. However, it is worth noting that the current elevated level of overall economic activity has considerably reduced the likelihood of a sharp drop in real estate prices and economic activity compared to previous monetary policy cycles. Balancing the described Case A and Case B-type risks, I am convinced that it is appropriate to maintain the refinancing rate unchanged at its current level of 6.75 percent. This decision aims to keep inflation close to the Central Bank's target over the medium term. I reaffirm my commitment to the objective of price stability and emphasize my readiness to take appropriate action in response to any new information that could reflect risks to maintaining inflation around the 3 percent target and safeguarding overall price stability.

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